

REGULATION OF INSURANCE IN UGANDA

1.0 INTRODUCTION

- 1.1 As early as 1961, Uganda had a law providing for the regulation of Insurance, the Insurance Ordinance, 1961. It was repealed by the Insurance Companies Act of 1964 (Cap 92) which was in turn repealed in 1978 by the Insurance Decree of the same year, the Statute 1996 and the Insurance Act, 213,2000 which was eventually amended by the Insurance Amendment Act, 13 2011.

2.0 HISTORICAL BACKGROUND

- 2.1 A gradual global change took place in the twentieth century. Governments, guided by the pressures created following two world wars and the emergence of socialist ideas, found it necessary on grounds of public policy to get involved with the administration of insurance companies. For example, in the United States despite the apparent belief in the doctrine of free enterprise, the intervention of individual states in controlling insurance companies was extensive and in Europe generally, governments were very active in legislating powers for themselves to regulate insurance companies operating within their jurisdiction.
- 2.2 What then were the reasons for government intervention in what might be called market economies? Insurance was a business conducted on a large scale and involved a number of policyholders paying a considerable amount of money in premiums. The funds accumulated were inevitably a source of temptation to some dishonest businessmen who at different periods in the development of insurance devised and perpetrated various fraudulent schemes under the guise of insurance. Over the years some insurers failed to meet their obligations, mainly because of financial failure. Whatever the reason for the collapse of an insurer, the consequences for existing policyholders and third party claimants depending on the fund were always serious. The failure of a life assurer where policyholders and their dependants were often relying on the stability of a life fund to provide for them in their old age or on the event of a life tragedy was even worse.
- 2.3 One can therefore conclude that it was the function of Governments to intervene and take appropriate action to ensure that insurance companies operating within their territories were financially stable and conducted their affairs in a reasonable manner. The enactment of Uganda's regulatory laws followed a logical pattern. It had as its aim, regulation of insurance companies by compelling compliance with several conditions

before commencing trading, during trading operations and following up a company being wound up or ceasing from any other cause.

- 2.4** The supervision of the insurance industry in Uganda has developed to its present level over a period of years through the Insurance Regulatory Authority.

3.0 EFFECT OF THE ACT ON THE INSURANCE INDUSTRY

- 3.1** The Insurance Statute now the Act established the Insurance Regulatory Authority formerly known as the Insurance Commission. As body corporate with the object of ensuring the effective administration, supervision, regulation and control of Insurance business in Uganda.

- 3.1.2** The basic act of the control by the Authority is the licence. In order to obtain a licence to commence business, an insurance company has to comply with several conditions. The licence is evidence of the Authority's approval that the prospective insurance player has fulfilled all the conditions prescribed by law and deemed necessary for the protection of the policyholders, beneficiaries and the economy of the country. The overall effect of the Act formerly the Statute is that the insurance industry in Uganda was from 1996 to be supervised in the following manner:-

3.2 PRELIMINARIES

3.2.1 Legal

(i) Corporate Form

Under Section 4 of the Act, all insurers are to be bodies corporate. The acceptable forms of incorporation are: a company incorporated under the Companies Act, an insurance corporation established by law, a Co-operative insurance society registered under the Co-operative Societies Act or a Mutual Insurance company. An insurance broker must also be incorporated under the Companies Act as per Section 73.

(ii) Documents Required

Applicants are required to submit the Articles and Memorandum of Association, names and addresses of its Board of Directors, Senior Executives and Technical Personnel, notification of the location and address of their head office in writing, specimen of policies and proposal forms and any other documents or information in connection with the insurance operations that the Authority may require, for approval.

The conditions which I have classified as legal mainly deal with the company's constitutional and internal Management. There is a continuing duty on the insurance players to notify the Authority of any alteration in these matters.

3.2.2 Financial Requirements

(i) Minimum Paid-up Capital

The basic aim of the Authority has been to ensure that insurance entities/organisations remain solvent and always able to meet their financial commitments. The minimum capital requirements have been raised by Statutory Instruments 59 and 60 of 2002, the Insurance (Amendment of Insurers and Reinsurers Minimum Paid Up Capital) Instrument and The Insurance (Amendment of Brokers Minimum Paid up Capital, Security Deposit and Loss Adjusters Professional Indemnity Policy) Instrument as follows: Shs.1 billion for non-life or life Insurers, Shs.2.5 billion to Reinsurers and Shs.50 million for brokers.

All players are to meet (or exceed) these requirements during their existence and to facilitate capital base growth. Every insurer is mandatorily required under Section 6 (5) to transfer from its profits of each year before any dividend is declared and after provision has been made for taxation a sum of five percent of the profits, to the paid-up capital.

(ii) Security Deposits

The insurers under Section 7 (1) are required to make a deposit of at least ten percent of the prescribed paid-up capital of the company and, to show documentary evidence that a sum equivalent of twenty percent of the security deposit has been deposited in a commercial bank under Section 29 (j). Under Section 79 (1), insurance broking companies must maintain at all times a prescribed paid-up capital of not less than ten million shillings of which two

million five hundred thousand must be deposited with the Central Bank (this has been raised by statutory instrument 60 of 2002, the insurance amendment of Brokers' minimum paid-up capital, Security deposit and loss adjusters Professional Indemnity Policy instrument) According to Section 8 of the Act, it is for use where a company suffers substantial loss arising out of non liability to claimants and the loss is such that it cannot be met from its available resources.

(iii) Professional Indemnity

One of the licensing requirements for brokers under Section 76 is that the professional indemnity policy taken out is satisfactory. Similarly, under Section 79 (2), no loss adjuster can carry on business under the Act unless it maintains at all times a professional indemnity policy of not less than five million shillings. The amounts have recently been raised to one hundred million shillings for brokers and fifty million for loss adjusters. This is to protect the players against legal liability to pay damages to persons who have sustained financial loss from their own professional negligence or that of its own employees.

3.2.3 Technical Requirements

These requirements are classified as technical because they are likely to affect the day-to-day running of business. Under Section 29 a person proposing to transact insurance business is required to submit to the Authority in a prescribed Form an application containing, inter alia, the following information:

- capital structure and earning prospects of the company;
- business, financial plans and earning forecasts for at least three years;
- premium rating and rating scales;
- proposed scale of maximum commissions to insurance intermediaries; and
- reinsurance protection and the company's net retentions in each class of business.

3.3.0 CONDUCT AND OPERATIONS OF INSURANCE

3.3.1 After licensing requirements

Once a player has complied with the above requirements, and the Authority is satisfied, it is granted a licence to commence transacting insurance business. Not only does the Authority ensure that unsuitable players are not licenced, but that those licensed continue to conform to the licensing requirements, carry on business in a lawful manner, remain solvent and in a position to meet all the financial liabilities incurred and indeed, continually incurring. This involves 2 phases:

- the examination of the documents submitted (off-site inspection); and
- on-site inspection at the place of business, by the Authority Inspectors.

The aim of such inspection being verification of information submitted or a spot check on the insurers' affairs on the following

i) **Solvency Margin**

To be solvent an insurance company's total assets have to exceed its total liabilities under Section 44 (1) in case of life, the liabilities of insurer have to exceed the amount of the life insurance fund. In case of non-life business or reinsurance, the admitted assets of the insurer have to exceed its admitted liabilities by a minimum of 15% of the premium income, net of reinsurance cessions under Section 44 (1).

ii) **Reserves**

Insurers are also required to establish and maintain in respect of each class of insurance business, reserves for unexpired risks, contingency reserves to cover fluctuations in securities and variations in statistical estimates and reserves for outstanding claims so as to cover contractual commitments to policyholders and other beneficiaries. The Authority has responsibility of ensuring that the provisions spelt out in Section 47 are complied with.

iii) **Investment Requirements**

Beyond the general requirement for security deposit and liquidity, the percentages of types of investments permitted for insurance business transacted in Uganda are prescribed, still in a bid to preserve long term security for insurance beneficiaries. Insurance funds are to be channeled to areas where both long term stable

returns and prospects for economic growth are ensured. The Authority has been very particular on these matters. In the investment guidelines made in accordance with Section 6 (3) (a) and 48 of the Statute, it is emphasised that in drawing up their investment policy, players should consider, inter alia, the following basic objectives and considerations;

- minimising risks;
- generating a favourable return on investments;
- providing adequate liquidity to ensure immediate settlement of claims, administrative and overhead expenses as and when they arise.

The same are being amended to set qualitative and quantitative standards for investment and liquidity management.

iv) Accounting Requirements

- In order for the Authority to satisfy itself regarding the existence and adequacy of the financial requirements demanded, the Authority relies on Financial statements which should be submitted by insurers within one hundred and twenty days after the end of each financial year and within three months from the end of each financial year by non-insurers. These include, inter alia, profit and loss account, a balance sheet both duly audited by an auditor approved by the Authority and showing the financial position of insurance business at the close of the year. Statement of life insurance business carried on by the player in Uganda in that year, a certified copy of revenue account in respect of any non-life business carried on by the insurer in that year, copies of the Board and management reports on the affairs of the insurer for the financial year as submitted to policyholders or shareholders. The Accounts and related financial statements are the means by which the Authority and the industry are able to monitor the financial health of the insurer. They bring together the concepts discussed above. Deficiencies in the insurer's financial conditions may lead to intervention by the Authority.

- A copy of the balance sheet should be exhibited in a conspicuous place in each of its offices and branches and, published in a local newspaper of general circulation.

(v) Reinsurance

An insurer and reinsurance company licenced under the Act must within one hundred and twenty (120) days from the end of the calendar year give the details of reinsurance contracts and details of the reinsurers or retrocessionaires with whom they maintain business relations in respect of risks falling within the scope of Section 59 of the Act.

3.3.2 Market Conduct

As an adjunct to regulation of the financial security of the insurance players, the Statute in part IV has provisions governing the conduct of certain aspects of insurance business, thereby ensuring that in addition to financial integrity, insurers conduct their business affairs in an ethical manner.

i. Credit on Premiums

An insurer is prohibited to allow credit on the premium payable for more than thirty days except business emanating from the Broker and where the insured fails to pay the premium within the time stipulated, the policy becomes voidable.

ii. Commission payable to intermediaries

Insurers are not allowed to pay commission or remunerations to unlicensed intermediaries.

iii. Modification of Memorandum and Articles of Association

All modifications on the Memorandum and Articles of Association for insurers, reinsurers and brokers must be approved by the Authority. Companies must submit a notice at least 21 days before the date on which the modification is intended to be made.

iv. Records

All records kept by the players must be in English.

v. Prohibition of misleading advertisements

It is an offence for any person knowingly to advertise, state, promise or make false forecasts; dishonestly conceal facts or make reckless advertisements in order to induce the unsuspecting public to enter into an insurance contract.

vi. Loans to Officers and Directors

Insurers are, also, prohibited to give loans to their Officers or directors except a loan on life policy limited to the policy's surrender values or a loan forming part of the terms and conditions of service of that officer or Director repayable within three years in exceptional circumstances provided in S. 42 1 (a) and (b).

vii. Loans to Associate companies

Insurers, reinsurers, insurance and reinsurance brokers too, are prohibited to grant loans, directly or indirectly to the company in which their officers or employees or directors hold more than one third of the shares of that company.

3.5 INSOLVENCY AND WINDING UP

The provisions for winding up of insurance companies are contained in Section 71 of the Act. An insurance company may be wound up on the petition filed by the Commission if it is carrying on insurance business without being licensed under the Act, if it does not comply with the prescribed paid-up capital and security deposit or where the margin of solvency is less than that prescribed under part IV of the Act, or an appeal filed to the Minister on revocation of the insurer's licence is dismissed or, in absence of it.

3.6 OFFENCES

The following offences under the Act carry penal consequences:

- (i) carrying on of any business under the Act under a company established contrary to the provisions of the Act;
- (ii) failure to take reasonable steps so as to secure compliance with the requirements of the Act;

- (iii) giving or making any information which is false, in answer for information required under any provisions of the Act;
- (iv) being privy to the furnishing of any false information;
- (v) failure to comply with an order issued by the Minister or Act ;
and
- (vi) advertisement of misleading statements, dishonest concealment of facts or reckless making of advertisement.

3.7 PENALTIES

Penalties range from Shs. One million to Shs. 10 million or imprisonment for a term of between three to six months, public or private admonition and suspension or revocation of the licence, depending on the relevant section contravened.

3.8 THE COMPLAINTS BUREAU

One of the functions of the Authority as provided by S. 15 (1) (f) is to provide a bureau to which complaints may be submitted by members of the public. The Complaints Bureau were established in 1998 and it has, over the period been responding to insurance clients' complaints and beneficiaries. Monitoring of these complaints represents a very useful source of information concerning reliability of companies and for holding insurer's responsible for their offered services. The Authority has taken cognisance of the fact that companies in difficulty delay claim payments or settle claims in an unfair manner. To resolve the complaints, the Commission facilitates communication between insurers and complainants and ensures that insurers comply with the law, while responding promptly and fairly.